

24SMCV01689 24SMCV01689

County: los-angeles

Division: Civil Law and Motion

Department: 207

Hearing date: 2026-06-30

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=BH%20%2C207%2C06%2F30%2F2026

Source SHA-256: 817660f8e241038ee352a4df229e0ebc1b5a70250542e985d1ee3b0e69ab00c8

Case Number: 24SMCV01689 Hearing Date: June 30, 2026 Dept: 207

TENTATIVE

RULING

DEPARTMENT

207

HEARING DATE

June

30, 2026

CASE NUMBER

24SMCV01689

MOTION

Motion

for Summary Judgment/Summary Adjudication

MOVING PARTY

Plaintiff and Cross-Defendant Van Buren

Plaza, LLC

OPPOSING PARTY

Defendant
and Cross-Complainant Shahin Abrishamchian

MOVING PAPERS:

Notice
of Motion and Motion for Summary Judgment/Summary Adjudication;

Memorandum
of Points and Authorities

Separate
Statement of Undisputed Material Facts

Compendium
of Evidence

Declaration
of Scott O. Smith

Declaration
of Said Shokrian

Declaration
of Jason T. Newton

OPPOSITION PAPERS:

Opposition to Motion for Summary
Judgment/Summary Adjudication; Memorandum of Points and Authorities

Opposition to Separate Statement

Declaration of Shahin
Abrishamchian

Appendix of Evidence

Evidentiary Objections

REPLY PAPERS:

Reply

to Abrishamchian's Opposition to Motion for Summary Judgment/Summary
Adjudication

Evidentiary

Objections

Response

to Abrishamchian's Evidentiary Objections

BACKGROUND

This case arises from a dispute between landlord and guarantor on a
commercial lease agreement for medical office space.

The operative verified First Amended Complaint ("FAC") was brought by Plaintiff
Van Buren Plaza LLC ("Plaintiff" or "Van Buren") against Defendant Shahin
Abrishamchian ("Defendant" or "Abrishamchian"), alleging three causes of action
for (1) breach of contract (guaranty); (2) open book; and (3) account stated,
alleging that after possession was restored pursuant to an unlawful detainer judgment,
outstanding rent/holdover damages remain due.

On December 10, 2024, Defendant cross-complained against Plaintiff for
(1) breach of contract; (2) breach of the implied covenant of good faith and
fair dealing; and (3) fraudulent concealment, alleging the property failed to
conform to the lessee's parking space, water, and gas line requirements, as
promised, and was also improperly zoned as a church, not a medical office
space.

Plaintiff now moves for summary judgment, or in the alternative
summary adjudication, of all three causes of action alleged in Plaintiff's
complaint, Defendant's 24 affirmative defenses thereto, and all three causes of
action alleged in Defendant's Cross-Complaint.

Defendant opposes the motion and Plaintiff replies.

As part of Defendant's opposition, Defendant made a request pursuant
to Code of Civil Procedure section 437c, subdivision (h) to continue the

hearing to conduct additional discovery.

As such, the Court continued the hearing and ordered supplemental opposition papers to be filed and served by June 5, with supplemental reply papers due by June 22. No such supplemental papers were filed or received by the Court.

EVIDENTIARY OBJECTIONS

Defendant's
Evidentiary Objections

The
Court rules as follows with respect to Defendant's evidentiary objections:

1.

Shokrian

Decl. ¶ 15: overruled

2.

Shokrian

Decl. ¶ 19: overruled

3.

Ex. C to

Smith Decl: overruled

4.

"Statements

in Shokrian Decl. interpreting the lease terms": overruled (request too vague as to what specifically is being objected to)

5.

"Any

declaration statement asserting Defendant 'has no defense'": overruled (request too vague as to what specifically is being objected to)

6.

"Statements

in Shokrian Decl. regarding representations made to Defendant or the condition and suitability of the Premises prior to the execution of the Lease": overruled

Plaintiff's Evidentiary
Objections

The

Court rules as follows with respect to Plaintiff's evidentiary objections:

3. [sic][1]

Overruled

4. Overruled

5. Overruled

6. Overruled

7. Overruled

8. Overruled

9. Overruled

10. Overruled

11. Overruled

12. Overruled

13. Overruled

14. Overruled

15. Overruled

16. Overruled

17. Overruled

18. Overruled

19. Overruled

20. Overruled

21. Overruled

22. Overruled

23. Overruled

24. Overruled

25. Overruled

26. Overruled

27. Overruled

28. Overruled

29. Overruled

30. Overruled

31. Overruled

32. Overruled

33. Overruled

34. Overruled

35. Overruled

36. Overruled

37. Overruled

38. Overruled

39. Overruled

40. Overruled

41. Overruled

42. Overruled

43. Overruled

LEGAL STANDARDS – MOTION FOR SUMMARY JUDGMENT/ADJUDICATION

“[T]he party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law[.] There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850 (hereafter Aguilar).) “[T]he party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact; if he carries his burden of production, he causes a shift, and the opposing party is then subjected to a burden of production of his own to make a prima facie showing of the existence of a triable issue of material fact.” (Ibid.; Smith v. Wells Fargo Bank, N.A. (2005) 135 Cal.App.4th 1463, 1474 [summary judgment standards held by Aguilar apply to summary adjudication motions].)

Further, “the trial court may not weigh the evidence in the manner of a factfinder to determine whose version is more likely true. Nor may the trial court grant summary judgment based on the court’s evaluation of credibility.” (Aguilar, *supra*, 25 Cal.4th. at p. 840 [cleaned up]; see also Weiss v. People ex rel. Department of Transportation (2020) 9 Cal.5th 840, 864 [“Courts deciding motions for summary judgment or summary adjudication may not weigh the evidence but must instead view it in the light most favorable to the opposing party and draw all reasonable inferences in favor of that party”].)

A party may move for

summary adjudication as to one or more causes of action, affirmative defenses, claims for damages, or issues of duty if that party contends that there is no merit to the cause of action, defense, or claim for damages, or if the party contends that there is no duty owed. (See Code Civ. Proc., § 437c, subd. (f)(1).) “A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” (Ibid.) A cause of action has no merit if: (1) one or more elements of the cause of action cannot be separately established, even if that element is separately pleaded, or (2) a defendant establishes an affirmative defense to that cause of action.

(See Code Civ. Proc., § 437c, subd. (n); *Union Bank v. Superior Court* (1995) 31 Cal.App.4th 573, 583.)

Once the defendant has shown that a cause of action has no merit, the burden shifts to the plaintiff to show that a triable issue of material fact exists as to that cause of action. (See Code Civ. Proc., § 437c, subd. (o)(2); *Union Bank v. Superior Court*, supra, 31 Cal.App.4th at p.

583.) Additionally, in line with *Aguilar*,

“[o]n a motion for summary adjudication, the trial court has no discretion to exercise. If a triable issue of material fact exists as to the challenged causes of action, the motion must be denied. If there is no triable issue of fact, the motion must be granted.” (*Fisherman's Wharf Bay Cruise Corp. v. Superior Court* (2003) 114 Cal.App.4th 309, 320.)

DISCUSSION

1. ISSUE 1: Defendant's Breach of Guaranty

“To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff.” (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.)

a. Plaintiff's Evidence

In support of the motion, Plaintiff advances the following evidence:

.

Plaintiff

is the owner and landlord of the real property at issue (UMF No. 1.)

.

Plaintiff

and Lessee, Karma CPAS, Inc. ("Karma") entered into a commercial lease agreement and first amendment to the lease agreement for the premises on February 8, 2021. (UMF No. 2.)

.

Defendant

is president of Karma and guarantor of the lease. (UMF No. 3.)

.

The

lease provides as follows:

o

Section

1.4: Lessor makes no representation or warranty concerning the suitability of the Leased Premises to conduct Lessee's business

o

Section

14.1: "Common Area" includes the "parking areas."

o

Section

14.3: Lessor has the unqualified right to increase or reduce the "Common Area" and to rearrange parking spaces, driveways, and building improvements on the "Common Area."

o

Section

14.5: The "Common Area" is under Lessor's exclusive control/management and Lessee agrees to abide and conform with rules/regulations adopted thereto.

o

Section

14.8: Lessor covenants that the "Common Area" shall be available for the non-exclusive use by the Lessee during the term of the Lease, subject to the

rules/regulations.

o

Section

34.6: There are no oral agreements between the parties and the Lease supersedes and cancels any previous negotiations or representations of any kind whatsoever.

o

Section

34.7: The Lease constitutes the entire agreement between Lessor and Lessee and may only be amended by written agreement.

o

"Amendments"

at Section 12: Lessee shall have a 180-day contingency period from lease execution to obtain Permits for its use.

(UMF No. 4.)

.

A Second

Amendment to the Lease, executed by Plaintiff and Karma on September 17, 2021, provides as follows:

o

Section

12 of the "Amendments," referencing the contingency is removed and no additional contingencies remain. (UMF

Nos. 5-6)

.

A Third

Amendment to the Lease, executed by Plaintiff and Karma on September 1, 2022, provides as follows:

o

Lessor

shall not grant any type of concession to Lessee whatsoever, including a tenant improvement allowance. The original space (Suites 18537-18539) and the additional space (Suite 18541) were delivered to Lessee and Lessee accepted its current condition. All demolition and improvements for Lessee's

use shall be at Lessee's sole cost and expense.

(UMF Nos. 7-8.)

.

Defendant

executed a Guaranty of Lease on February 8, 2021, which provides:

o

Guarantor

unconditionally and irrevocably guaranties the prompt payment by Tenant of all rentals and all other sums payable by Tenant under the Lease.

o

Guarantor's

liability under the Guaranty shall continue until all rents due under the lease have been paid in full.

o

Guarantor

agreed that if a default shall at any time occur in the payment of any sums due under the Lease by Tenant...Guarantor shall and will forthwith upon demand pay such sums.

o

In the

event of any dispute or litigation regarding the enforcement or validity of this Guaranty, Guarantor shall be obligated to pay all charges, costs and expenses (including, without limitation, reasonable attorneys' fees) incurred by Landlord

o

The

Guaranty shall constitute the entire agreement between each Guarantor and the Landlord with respect to the subject matter thereof. (UMF Nos. 9-10.)

.

Plaintiff

performed the covenants required on its part under the terms of the Lease, except those that were excused by Karma's breaches. (UMF No. 11.)

.

Karma

defaulted under the Lease by failing to pay the rent and common area/NNN charges when due under the lease from May 2022 through July 2023. (UMF No. 12.)

.

On

October 4, 2023, Plaintiff filed an unlawful detainer action and ultimately obtained a judgment of possession for the premises against Karma, which was enforced by the Los Angeles County Sheriff's Department on February 13, 2024. (UMF Nos. 13-14.)

.

Plaintiff's

Aged Delinquency Report dated March 25, 2024 demonstrates a total amount owed of \$344,711.25, representing (1) unpaid rent in the amount of \$198,547.80 and (2) common area/NNN charges of \$146,163.45. (UMF No. 15.)

.

To date,

neither Karma nor Defendant have paid the outstanding amounts owed. (UMF No. 16.)

Thus, Plaintiff has met its

initial prima facie burdens of production and persuasion to demonstrate (1) the Guaranty/agreement; (2) Defendant's breach; (3) Plaintiff's performance under the agreement, except to the extent excused by Defendant's breach; and (4) resulting damages.

b. Defendant's Evidence

Defendant does not dispute the

existence or terms of the Lease Agreement, Amendments, or Guaranty, the fact that Karma was evicted through unlawful detainer proceedings, or the outstanding balance remains unpaid.

Defendant contends that Plaintiff made material misrepresentations and omissions during the course of negotiations and/or breached the Lease Agreement by failing to provide premises that conform to the parties' agreement with respect to the parking; water, sewer and gas lines; and zoning.

Defendant also contests the outstanding amount owed, arguing that, to the extent any rent payments are still outstanding, they should be offset by Defendant's own damages incurred and that Plaintiff failed to adequately mitigate its damages.

In support, Defendant advances his own declaration, which provides as follows:

5. Karma

intended to operate the Initial Space as an adult day health care facility. From the outset, adequate parking was critical to the viability of that use. The facility needed sufficient parking for licensing purposes and to support staff, clients, transportation activity, and occupancy levels necessary to operate profitably. Without sufficient parking, the facility could not lawfully or economically function as intended.

6. Prior

to execution of the Lease, Plaintiff's broker and/or agent provided me with a parking analysis for the shopping center. That document represented, among other things, that thirty-two (32) parking spaces were allocated to Karma's leased premises and that the shopping center had approximately 600 total parking spaces, with approximately 590 spaces required. Exhibit C to Defendant's Appendix of Exhibits is a true and correct copy of that parking analysis.

7. I

relied on the parking analysis and the representation that thirty-two parking spaces were allocated to the Premises in deciding to proceed with the transaction, execute the Lease, and personally execute the Guaranty. At the time, Karma needed at least that level of parking to obtain licensing and justify opening the facility and to seek the occupancy level needed to make the location economically workable.

8. Before

Karma could begin operating, the City of Santa Clarita required a Minor Use Permit ("MUP") as well as built out engineered plans. After months of work and delay, on or about September 2, 2021, the City approved MUP 21-006 for the Initial Space. Exhibit B to Defendant's Appendix of Exhibits is a true and correct copy of the MUP approval and conditions of approval.

9. The

City's approval materially differed from what had been represented to me before lease execution. Although I had been shown a parking analysis allocating 32 spaces to Karma, the City's approved MUP reflected only 18 available spaces could be allocated for the Initial Space and limited the operation accordingly and to a maximum occupancy of 66. It was calculated one dedicated space to each of our initial 6 employees and one space dedicated to every 5 visitors equaling a maximum of 60 daily participants, bringing the total maximum occupancy to 66. This was highly significant because it materially affected the permitted occupancy and the economic viability of the business.

10. Based

on the City's parking restrictions, the Initial Space could not support the level of occupancy Karma needed. Karma required a substantially higher occupancy level to break even, and its goal was ultimately to secure occupancy for up to 200 clients. The parking limitation was therefore not minor or academic. It directly affected whether the business could operate as planned.

11. After

reporting the issue to the brokers and building management, they attempted to add a few spaces to the existing limited parking. Added spaces were rejected by the MUP inspectors as not legal and contradicting with fire department regulation thus not fruitful. In order to obtain building permit and begin the construction, we were moved to agree with the issued permit to build with the low approved occupancy by the MUP and seek ways to increase the occupancy while constructing.

12. After

further efforts with the City, and after discovering a City provision relating to a designated pick-up and drop-off space which improved the rating from 5 to 10 people per each parking space. Newly discovered city rules increased the occupancy to 126, dedicating 6 spaces to 6 employees and $12 \times 10 = 120$ people totaling 126, revised plans were submitted in an effort to improve the permitted occupancy. Eventually, following additional delay and permitting work, an adjacent approximately 1,200 square foot space became available showing 5 assigned parking spaces, and Karma agreed to expand into that space (the "Expansion Space") even though it had no need for the space. It agreed to secure the space in order to obtain enough additional 50 occupancy by $5 \times 10 = 50$ parking for licensing purposes and operation of a viable business.

13. The

Expansion Space had most recently been occupied by an escrow company. The Expansion Space was originally part of the space we rented and both spaces were occupied by a church entirely. Karma agreed to take that additional space solely because the expansion was expected to help secure more parking allocation and a larger occupancy load.

14. A

second MUP process followed for the expansion. On or about July 12, 2023, the City approved MUP 23-006 relating to the expanded operation. Exhibit D and Exhibit E to Defendant's Appendix of Exhibits are true and correct copies of the MUP documents and related conditions of approval. Exhibit D is the original MUP approval approving the space addition to the original space and keep approving the original 66 maximum occupancy. The MUP calculation method became clear for me by the city inspector. Each existing business on their records was given an allocation of parking based on the type of reported business, then the addition of total assigned parking to all existing business was taken out of the total available parking spaces in the shopping center arriving at 18 spaces left over. Thus, the added space would be assigned with 0 spaces and not five as the rental agreement. I obtained the list of all recorded existing business from MUP.

15. I

found multiple business in the shopping center that were not matching the MUP list, I presented pictures of the replacing business and presented to MUP in order to recalculate the total parking allocation based on actual current actual existing business. They removed old businesses and added replaced ones and allocated parking to new business types the appropriate number of parking spaces and ended up with 27 unassigned spaces. They then updated the original July 12, 2023 approval with the higher and matching our business objectives. Exhibit E. They were surprised that so many new tenants were allowed to rent and do business without MUP. They also added that the Escrow company was never permitted to do business as well as there was no record of any building permit to remodel. I did not need to add the additional space nor I would have all the delays if the shopping center had followed the city regulation and had required every new tenant to obtain MUP approval. MUP would have approved 27 spaces with the original approval.

16. The

expanded approval ultimately reflected a total of 27 parking spaces for the

expanded facility, not the 32 spaces that had originally been represented to me for the Initial Space alone before execution of the Lease and Guaranty. This discrepancy was significant and confirmed that the pre-lease parking representations were inaccurate and materially misleading.

17. In

addition to the parking problem, Karma encountered serious utility and infrastructure defects that were not properly disclosed to me before I executed the Lease and Guaranty.

18. As

part of the approved operational plans, Karma required a dedicated two-inch water line. No such dedicated line existed. Instead, a smaller line ran through the Initial Space and also supplied an adjacent restaurant. This meant the space did not have the dedicated water infrastructure required for the intended use.

19. The

water-line situation created a practical impossibility. If Karma were to use that line as needed for the adult day care operation, it would affect water service to neighboring space or spaces. In other words, Karma could either lack adequate water service for its own operation or use the existing line at the expense of another tenant. That was not a workable condition for the intended use.

20. Karma

also encountered serious sewer-line problems. When work was undertaken relating to the sewer connection, it was discovered that the sewer line serving the Initial Space was shared with an adjacent clinic and that the existing cast iron line was in poor condition and, in relevant part, unusable. This was another material condition affecting the lawful and practical use of the premises.

21. Karma

also learned that neither the Initial Space nor the Expansion Space had a dedicated gas meter for Karma's use. A gas line existed, there was a gas meter directly outside behind our space with gas line from it traveling up and entering our space, but it also served an adjacent restaurant. This created the same fundamental problem as the water line: the infrastructure necessary for Karma's intended use was not independently available to Karma as represented or

expected. Even if adequate for both businesses, it made it impossible to measure each user volume.

22. These

utility conditions were not trivial construction inconveniences. They materially affected whether the premises could function as an adult day health care facility at all, and whether the space could lawfully and safely operate as approved.

23. I

also later learned of serious zoning and permitting issues relating to the Expansion Space. As noted above, the space had previously been used as part of a church. I learned that Plaintiff had not properly obtained the necessary zoning variance, entitlement, or other approval to convert that space into the use that had followed, and then to lease it for Karma's expanded operation. Per department of building and safety plan checker, after careful review of architectural and various engineering plans, he had approved and issued permit to build the original space. But the addition of Expansion Space could not be approved. Due to the separating wall, being designed as a shear wall and is rated for two hours of fire protection. He added, the existing opening by a six foot by eight-foot double door that is currently connecting the two sides has compromised the safety codes and immediately ordered to stop all construction. Until the separating wall has been restored to the original condition without any connecting passage.

24. I

further discovered that, in connection with the prior conversion of the Expansion Space, the Expansion Space was originally part of the adjacent restaurant. The restaurant including Expansion Space were considered as one building and our rented space next to it was considered a separate building and identified as such by the fire department. The wall separating the entire original restaurant and our rented original space had to have two hours rating to satisfy fire safety separating two buildings and required to be a shear wall for the stability of the building to satisfy the building and safety department. The wall between the Expansion Space and our original rented space had been compromised or removed without proper permitting. This created an illegal and unsafe condition. City of Santa Clarita department of building and safety had stopped the build out and needed a resolution of the compromised wall. Not only did they want a cure, but they also wanted to rebuild the separating wall entirely and follow the current city codes. Rebuilding and

closing the entire wall would make the Expansion Space unreachable. After multiple meetings with the city plan checker, architect and engineers we resolved it by engineering the new wall with large footings, rebuilding the wall and adding shear wall and only leaving a connecting door measuring three feet by 6 feet two-hour fire rated door. This was time consuming, costly and tiring. Finally, after many months we obtained building permit to begin completing the build out.

25. That

firewall and shear wall issue had substantial consequences. Karma could not simply occupy and use the Expansion Space while that condition remained unresolved. It had to wait for further direction and approval, and the condition materially interfered with the use of the premises.

26. Had I

known, before signing the Lease and Guaranty, that (a) the represented parking allocation was inaccurate, (b) the center in fact lacked the amount of parking shown in the parking study, (c) the premises lacked the dedicated utility infrastructure necessary for the intended use, (d) the Expansion Space had zoning and permitting defects, and (e) the fire-rated demising wall had been compromised or removed without proper permit compliance, I would not have caused Karma to enter into the transaction on the terms offered, and I would not have personally executed the Guaranty.

27. As

part of this process, Karma retained JAC Architecture and Property Management to conduct an independent review regarding parking. JAC confirmed that the shopping center's actual parking count was far lower than what had been represented in the pre-lease parking analysis.

28.

Specifically, JAC confirmed that the center had approximately 368 spaces, not the approximately 600 spaces provided and 590 required reflected in the original parking analysis. The shortfall was so significant, nearly forty percent of the parking spaces represented in the prelease parking analysis, that it materially affected whether the shopping center had sufficient parking to support the uses Plaintiff authorized in the Lease. Exhibit F to Defendant's Appendix of Exhibits is a true and correct copy of the email reflecting that confirmation.

29. The

JAC confirmation was highly significant because it showed that the center-wide parking numbers reflected in the pre-lease parking study were materially inaccurate. It also confirmed that the allocation of parking to Karma that had been shown to me before execution was not grounded in the actual parking conditions at the center.

30. The

parking study was not something I regarded as incidental or non-binding sales talk. It was provided during the transaction and directly concerned the core operational requirement for the type of business Karma intended to operate. I relied on it as part of the basis for moving forward with the Lease and Guaranty.

31.

Likewise, the utility, zoning, and firewall and shear wall issues were not matters I understood or agreed to assume as unknown conditions existing at the outset. These were material conditions that affected whether the premises were suitable, lawful, and practically capable of supporting the intended use.

32.

Throughout the permitting and build-out process, Karma spent substantial time, money, and effort attempting to make the premises usable for the adult day health care operation. The obstacles described above caused significant delay, disruption, additional expense, and loss of anticipated business opportunity.

33. The

conditions described above also prevented the premises from being delivered and made available in the condition bargained for and required for lawful and workable occupancy at the commencement of the tenancy.

34.

Plaintiff nevertheless never assisted or participated in any way to find a cure for his misrepresentation but continued to demand full performance and payment under the Lease and later sought to enforce the Guaranty, despite the existence of the above-described conditions and despite the fact that those conditions materially impaired the intended use of the premises. The business could not operate without these issues being addressed by the landlord.

35. The

statements in this declaration are based on my personal knowledge, my direct participation in the transaction and subsequent events, and my review of the documents attached to Defendant's Appendix of Exhibits, each of which I received, created, paid, relied upon, or otherwise became personally familiar with in connection with the Lease, the Guaranty, the permitting process, or the operation of Karma's proposed facility.

36. On or about December 10, 2024 I filed a cross-complaint in this action setting for my claim against the Plaintiff including their misrepresentations that has caused hundreds of thousands of Dollars in damages to me and my business.

[...]

43. Adult day health care facility is one of the most highly regulated businesses in California. It requires strict adherence to the various codes including but not limited to zoning, structure, parking and every other aspect of legal requirements for commercial occupancy. Karma as tenant was not able to timely secure permit for the space because it was prevented from doing so by the Plaintiff Landlord that misrepresented the parking allocation in the center, allowing zoning and permitting defects in the Expansion Space, compromising the fire-rated demising wall without proper permit compliance as well as lacking dedicated utility infrastructure necessary for the intended use. Due the myriad violations of the Plaintiff over the years and complete disregard of proper permitting process, the Defendant was prevented by the City to move forward with the project until such time the Landlord addressed its previous violations. Plaintiff however persisted in its refusal to take any action to rectify its previous wrongdoing.

(Abrishamchian Decl. ¶¶ 5-36, 43.)

Defendant has met his burden of production to create triable issues of material fact as to whether Plaintiff misrepresented aspects of the premises to induce Defendant to guaranty the lease and/or provided nonconforming premises in violation of the parties' agreement.

In reply, Plaintiff argues that because the Lease Agreement disclaims any representation or warranty

concerning the suitability of the leased premises, that the Lease supersedes and cancels any previous representations, and contains an integration clause, it exculpates Plaintiff from Defendant's accusations, pursuant to the Parol Evidence Rule.

“Under the parol evidence rule, extrinsic evidence is not admissible to contradict express terms in a written contract or to explain what the agreement was.” (Cerritos Valley Bank v. Stirling (2000) 81 Cal.App.4th 1108, 1115–1116.)

Thus, Plaintiff argues, Defendant cannot present any evidence contradicting these plain terms of the Agreement, pursuant to the rule.

But the Parol Evidence Rule does not bar the introduction of evidence regarding fraud. (Riverisland Cold Storage, Inc. v. Fresno-Madera Production Credit Assn. (2013) 55 Cal.4th 1169, 1182.) Thus, a Plaintiff may not generally use the parol evidence rule as a shield to insulate itself from liability for making material misrepresentations about the premises by merely including generic exculpatory clauses within the lease.

Here, the Parol Evidence Rule does not bar evidence that Plaintiff materially misrepresented the number of parking spaces available to Karma within the common areas to the premises, and/or concealed the zoning, firewall, and/or plumbing issues in order to induce Plaintiff to sign the guaranty.

Further, the alleged fraud may entitle Defendant to an offset, reducing or eliminating any outstanding rent owed.

These issues are for a fact finder to assess.

As such, the Court denies summary adjudication of Issue 1.

2. ISSUES 2-3: Plaintiff's Second Cause of Action for Open Book Account and Third Cause of Action for Account Stated

In order to prevail on a cause of action for an open book account, Plaintiff must establish (1) Plaintiff and Defendants had financial transactions with each other; (2) Plaintiff, in the regular course of business, kept a written or electronic account of the debits and credits involved in the transactions; (3) Defendants owe Plaintiff money on the account; and (4) the amount of money owed.

(CACI No. 372.)

The elements of an “Account

Stated” cause of action are (1) at the time of the statement, an indebtedness from one party to the other existed (2) a balance was then struck and agreed to be the correct sum owing from the debtor to the creditor; and (3) the debtor expressly or impliedly promised to pay to the creditor the amount thus determined to be owing. (Truestone, Inc. v. Simi West Industrial Park II (1984) 163 Cal.App.3d 715, 725.) The second and third elements can be established where an account is sent to the debtor, and the debtor does not object within a reasonable time. Trafton v. Youngblood (1968) 69 Cal.2d 17, 25; Atkinson v. Golden Gate Tile Co. (1913) 21 Cal.App. 168, 171.)

Here, as discussed above, because there are triable issues of material fact as to whether the amount Defendant owes Plaintiff should be reduced, in whole or in part, the Court similarly denies summary adjudication of Issues 2-3.

3. ISSUES 4-27: Defendant's Affirmative Defenses

Plaintiff moves for summary judgment as to each of Defendant's twenty-four affirmative defenses on the ground that “Defendant has failed to meet the burden of proof which has shifted to him.”

a. ISSUE 4—Affirmative Defense No. 1: Failure to State a Cause of Action

As to the first cause of action for breach of written guaranty, the FAC alleges as follows:

13.

Defendant executed and delivered to Plaintiff a Guaranty of Lease agreement dated as of February 8, 2021 (“Guaranty”), a true and correct copy of which is attached as Exhibit 4 and incorporated herein.

14.

Pursuant to the terms of the Guaranty, Defendant guaranteed the prompt payment

by Lessee of all rentals and other sums payable under the Lease and performance of the terms and conditions of the Lease.

15.

Despite demand, Defendant failed to pay the sums due and owing to Plaintiff under the Lease.

16. There

is now due and owing to Plaintiff from Defendant, as of February 6, 2024, the sum of not less than \$344,711.25, together interest at the contract rate and late fees plus other fees/charges in accordance with the Lease, all according to proof at time of trial or entry of judgment.

17. The

Guaranty provides that Defendant agreed to pay reasonable attorneys' fees incurred in the enforcement thereof. Plaintiff has employed the law firm of Buchalter, A Professional Corporation, for the purpose of instituting and prosecuting this action.

18.

Plaintiff has performed all the promises, covenants and conditions it agreed to perform in accordance with the terms of the Lease and Guaranty, except for those promises, covenants and conditions excused by the acts or omissions of Lessee or Defendant.

(FAC ¶¶ 13-18.)

As

to the second cause of action, the FAC alleges:

20.

Within four years last past, Defendant became indebted to Plaintiff in the sum of \$344,711.25 for a balance due on a book account for money due.

21. No

part of said sum has been paid, although demand for payment has been made, and there is now due, owing and unpaid from said defendant to Plaintiff the sum of \$344,711.25, plus interest at the legal rate according to proof at time of trial or entry of judgment.

(FAC ¶¶ 20-21.) Thus, Plaintiff has adequately stated a cause of action for open book account.

As
to the third cause of action, the FAC alleges:

23.

Within the last four years, an account was stated in writing by and between Plaintiff and Defendant wherein it was agreed that said defendant was indebted to Plaintiff in the sum of \$344,711.25.

24.

Although payment of the balance has been demanded, there is now due, owing and unpaid from said defendant to Plaintiff the sum of \$344,711.25, plus interest at the legal rate according to proof at time of trial or entry of judgment.

(FAC ¶¶ 23-24.) Therefore, Plaintiff has adequately stated a cause of action for account stated.

Although Defendant has met his burden of production to create triable issues of material fact as to whether Plaintiff will ultimately prevail on merits of its causes of action, Defendant has not demonstrated that Plaintiff failed to state a cause of action.

Therefore, the Court grants summary adjudication as to Issue 4, Defendant's first affirmative defense for failure to state a cause of action.

b. ISSUE 5—Affirmative Defense No. 2: Statute of Frauds

The statute of frauds requires that certain types of contracts be in writing in order to be valid. (See Civ. Code, § 1624.)

Here, Defendant has not created any triable issues of material fact as to the existence of the written lease agreements, amendments, or guaranty that control the instant dispute. Because all purported contracts at issue are in writing, they necessarily comply with the requirement of statute of frauds that certain agreements be in writing.

Therefore, the Court grants
summary adjudication of Issue 5.

c. ISSUES 6 and 17—Affirmative Defense No. 3
and 14: Good Faith

An affirmative defense for
Good Faith requires (1) that defendant took property from plaintiff in good
faith and (2) that defendant took the property for a reasonably equivalent value.

Here, as discussed above,
because Defendant has created triable issues of material fact as to the value
of the premises as delivered and/or whether any offset should be applied to any
outstanding amounts owed, the Court denies summary adjudication of Issues 6 and
17.

d. ISSUES 7 & 23—Affirmative Defenses Nos.
4 & 20: Failure to Mitigate & Avoidable Consequences

Defendant
has advanced evidence that Plaintiff failed to mitigate its damages by refusing
to work with the City to cure its own prior zoning and safety issues that delayed and prevented Plaintiff from
operating its business out of the leased space.
Therefore, the Court denies summary adjudication of Issues 7 and 23.

e. ISSUE 8—Affirmative Defense No. 5: No
Damages

As discussed above, there are
triable issues of material fact as to whether Plaintiff has incurred any
recoverable damages or whether the contract is unenforceable as having been
fraudulently induced, or whether an appropriate offset by Defendant's own
damages eliminate Plaintiff's recoupable damages. As such, the Court denies summary
adjudication of Issue 8.

f. ISSUE 9—Affirmative Defense No. 6: Consent

Plaintiff has advanced
evidence that it did not consent to Defendant's failure to pay the outstanding

rent owed. Specifically, Plaintiff brought a successful unlawful detainer action to evict Karma for nonpayment of rent and has now brought the instant action to recoup the outstanding rent amounts owed.

Defendant has not presented any evidence that Plaintiff consented to Defendant's nonpayment of rent at any point in time.

Therefore, the Court grants summary adjudication of Issue 9.

g. ISSUES 10-11 & 20—Affirmative Defenses No. 7-8 & 17: Estoppel, Unclean Hands & Fraud

As discussed above, there are triable issues of material fact as to whether Plaintiff has unclean hands and/or should be estopped from recouping any more rent payments on the grounds that Plaintiff (1) fraudulently made material misrepresentations about the premises; (2) concealed and/or omitted material defects regarding the firewall, plumbing, and parking; and/or (3) delivered materially nonconforming premises to Defendant.

Therefore, the Court denies summary adjudication of Issues 10, 11, and 20.

h. ISSUE 12—Affirmative Defense No. 9: Waiver

There is no evidence in the record that Plaintiff waived its claims. Therefore, the Court grants summary adjudication of Issue 12.

i. ISSUE 13—Affirmative Defense Nos. 10: No Causation

As discussed above, there are triable issues of material fact as to whether Plaintiff caused its own damages, in whole or in part, by making material misrepresentations/omissions about the premises, delivering nonconforming premises, and/or failing to mitigate zoning and safety issues with the City that predated Defendant's lease.

Therefore,
the Court denies summary adjudication of Issue 13.

j. ISSUE 14—Affirmative Defense No. 11: Offset

As discussed above, there are
triable issues of material fact as to whether Plaintiff's damages, if any,
should be offset by the damages Defendant incurred. Therefore, the Court denies summary
adjudication of Issue 14.

k. ISSUE 15—Affirmative Defense No. 12: Excusal

As discussed above, there are
triable issues of material fact as to whether Defendant is excused from having
to pay the rent amounts owed, due to Plaintiff's delivery of nonconforming
premises. Therefore, the Court denies
summary adjudication of Issue 15.

l. ISSUE 16—Affirmative Defense No. 13: Plaintiff's
Bad Faith

As discussed above, there are
triable issues of material fact as to whether Plaintiff made fraudulent
misrepresentations, concealments, and/or omissions, which would demonstrate
Plaintiff's bad faith. Therefore, the
Court denies summary adjudication of Issues 16 and 18.

m. ISSUE 18—Affirmative Defense No. 15: Malicious
Prosecution

As discussed above, Plaintiff
has met its initial prima facie burden of production and persuasion to
demonstrate (1) the existence of the parties' contractual agreements; (2)
Plaintiff's performance or excuse for performance; (3) Defendant's breach; and
(4) Plaintiff's damages.

Although Defendant has created
triable issues of material fact, Defendant has not advanced any evidence
demonstrating that Plaintiff filed the instant case for the purposes of

harassment or malicious prosecution.

Therefore, the Court grants
summary adjudication of Issue 18.

n. ISSUES 19 & 21—Affirmative Defenses Nos.
16 & 18: Superseding/Intervening Cause and Indemnity/Comparative Fault

Defendant has not advanced any
evidence that the actions of any third parties caused or contributed to
Plaintiff's damages. Therefore, the
Court grants summary adjudication of Issues 19 and 21.

o. ISSUE 22—Affirmative Defense No. 19: No
Jurisdiction

Although the evidence
demonstrates the premises in question are located in the City of Santa Clarita,
and therefore could theoretically be brought in a different venue, Defendant
has not advanced any evidence that this Court lacks jurisdiction over
the parties or subject matter.

Therefore, the Court grants
summary adjudication of Issue 22.

p. ISSUE 24—Affirmative Defense No. 21: Failure
to Exhaust Administrative Remedies

Defendant has not advanced any
evidence demonstrating that Plaintiff failed to exhaust administrative
remedies.

Therefore, the Court grants
summary adjudication of Issue 24.

q. ISSUE 25—Affirmative Defense No. 22: Arbitration

There is no evidence in the
record that any of the agreements at issue contain a mandatory arbitration
clause.

Therefore, the Court grants
summary adjudication of Issue 25.

r. ISSUE 26—Affirmative Defense No. 23:
After-Acquired Evidence

The doctrine of after-acquired
evidence provides for an equitable defense related to the concept of “unclean
hands” in employment cases where an employer being sued for wrongful
termination learns after the fact that the employee committed misconduct that
would have led to their termination in any event. (See *Finegan v. County of Los Angeles*
(2001) 91 Cal.App.4th 1, 7.)

Defendant has not provided any
legal authority that the after-acquired evidence doctrine applies to contexts
outside of employment disputes, nor has Defendant advanced any evidence
demonstrating that this is an employment dispute, or that Plaintiff
acquired any such evidence after the fact.

Therefore, the Court grants
summary adjudication of Issue 26.

s. ISSUE 27—Affirmative Defense No. 24: Promissory
Estoppel

As discussed above, Defendant
has advanced sufficient evidence that Plaintiff made promises about the parking
availability upon which Defendant relied to his detriment, such that there are triable
issues of material fact as to whether promissory estoppel should bar Plaintiff
from denying such an agreement/promise was made.

Therefore,
the Court denies summary adjudication of Issue 27.

4. ISSUE 28: Defendant’s First Cause of Action
for Breach of Contract

As discussed above, there are
triable issues of material fact as to whether Plaintiff breached the Lease

Agreement by delivering nonconforming premises with inadequate parking, water, sewer, and gas lines, that was properly permitted and zoned as a commercial space, with a functional and code-compliant firewall.

Therefore,
the Court denies summary adjudication of Issue 28.

5. ISSUES 29-30: Defendant's Second Cause of
Action for Breach of the Covenant of Good Faith and Fair Dealing and Third
Cause of Action for Fraudulent Concealment

"Implied in every contract is
a covenant of good faith and fair dealing. The implied covenant prevents one
side from unfairly frustrating the other's right to receive the benefits of the
agreement actually made. The covenant does not impose substantive terms beyond
those of the contract. A plaintiff claiming breach must allege the defendant's
wrongful conduct was contrary to the contract's purpose and the parties'
legitimate expectations." (Cordoba
Corp. v. City of Industry (2023) 87 Cal.App.5th 145, 156.)

Here, as discussed above,
there are triable issues of material fact as to whether Plaintiff acted in bad
faith by materially misrepresenting, omitting, and/or fraudulently concealing
facts about the deficiencies in the available parking, water, sewer, and gas
lines, zoning, and fire wall.

Therefore, the Court denies
summary adjudication of Issues 29 and 30.

CONCLUSION AND ORDER

For the reasons stated, the Court grants in part and denies in part
Plaintiff's Motion for Summary Adjudication.

Finding no triable issues of material fact, the Court grants
Plaintiff's motion for summary adjudication of Issues 4, 5, 9, 12, 18, 19, 21,
22, 24, 25, and 26, pertaining to Defendant's affirmative defenses no. 1, 2, 6,
9, 15, 16, 18, 19, 21, 22, and 24.

Finding triable issues of material fact, the Court denies summary

adjudication of the remaining Issues 1-3, 6-8, 10-11, 13-17, 20, 23, and 27-30.

Having denied summary adjudication of the issues identified above, the Court denies Plaintiff's Motion for Summary Judgment.

Further, the Court will enter the proposed Order lodged on January 12, 2026 in conformity with the ruling.

Plaintiff shall provide notice of the Court's ruling and file the notice with a proof of service forthwith.

DATED: June 30, 2026 ____/s/____

Michael
E. Whitaker

Judge
of the Superior Court

[1]
Plaintiff's evidentiary objections begin at number 3.